

business will generate for a period of time into the future, and then discounts all of these coupons back to the present.

For Buffett, determining a company's value is easy as long as you plug in the right variables: the stream of cash flow and the proper discount rate. In his mind, the predictability of a company's future cash flow should take on a "coupon-like" certainty like that found in bonds. If the business is simple and understandable, and if it has operated with consistent earnings power, Buffett is able to determine the future cash flows with a high degree of certainty. If he cannot, he will not attempt to value a company. This is the distinction of his approach.

After he has determined the future cash flows of a business, Buffett applies what he considers the appropriate discount rate. Many people will be surprised to learn that the discount rate he uses is simply the rate of the long-term U.S. government bond, nothing else. That is as close as anyone can come to a risk-free rate.

Academics argue that a more appropriate discount rate would be the risk-free rate (the long-term bond rate) *plus* an equity risk premium, added to reflect the uncertainty of the company's future cash flows. But as we will learn later, Buffett dismisses the concept of an equity risk premium because it is an artifact of the capital asset pricing model that, in turn, uses price volatility as a measure of risk. In simple terms, the higher the price volatility, the higher the equity risk premium.

But Buffett thinks the whole idea that price volatility is a measure of risk is nonsense. In his mind, business risk is reduced, if not eliminated, by focusing on companies with consistent and predictable earnings. "I put a heavy weight on certainty," he says. "If you do that, the whole idea of a risk factor doesn't make sense to me. Risk comes from not knowing what you're doing."²⁹ Of course, a company's future cash flow cannot be predicted with the same certainty as a bond's contractual coupon payment. Nevertheless, Buffett is more comfortable using the risk-free rate alone than adding several percentage points in risk premium just because a company's stock price bounces up and down more than the bounciness of the overall market. Still, if you are uncomfortable with ignoring equity risk, you can compensate by demanding a bigger margin of safety in the purchase price.